STARDOM Ventures

Q3 2023 REVIEW

STARDOM VENTURES

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SUMMARY

- **2023 Highlights:**
  - 2 new investment in amount of $2.2M
  - 2 follow-ons investment in amount of $1.6M
  - Fair market value: $53M
  - Gross Multiple: 1.4x

- **New investments in 2023:**
  - PeerPlay- PeerPlay Create and build brilliantly designed and masterfully executed mass-market, category leading games that captivate and monetize players for years. we invested $1M as a SAFE with a Cap of $8M and a 15% discount
  - Onecut.AI- The company mission is to use generative AI to mass produce authentic human-led video content. we invested $1.2M as a SAFE with a Cap of $8M and a 20% discount

- **Follow-On investments in 2023:**
  - Humanz- $1.5M at a $40M pre-money valuation
  - Syte- $136K as a SAFE with a Cap of $55M and a 20% discount

OUR VIEW OF THE MARKET

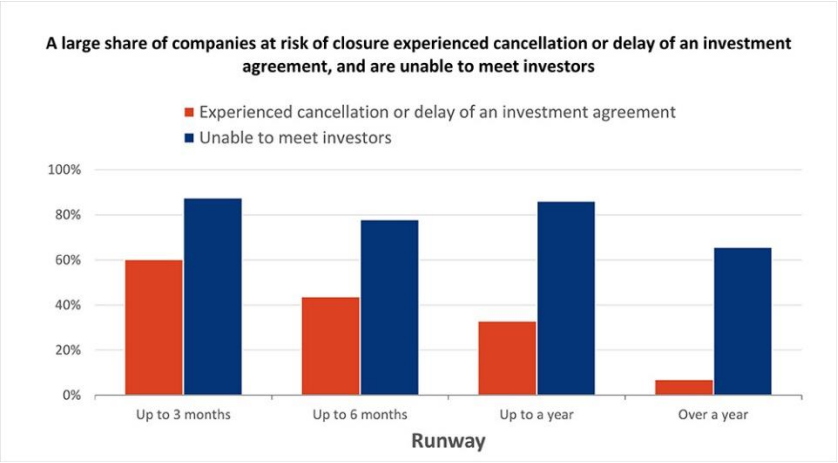
War in Israel:

On October 7, the Hamas launched thousands of rockets against Israel in advance of a ground attack. Terrorists killed more than 1,400 people and wounded 3,400 others in towns and kibbutzim across southern Israel, and Hamas took around 200 hostages back to Gaza. Israel's declaration of a state of war the following day marked the start of the most major military escalation in the region in the last decades.

The war's most immediate impact on tech firms has come through the workforce. Israel has called up more than 300,000 military reservists to fight in the war, most of them working and studying in Israel, though some have returned from abroad. Estimates are that about 10% of tech employees in Israel have been drafted, with the number climbing as high as 30% in some companies.

Most companies have their teams and leadership focused on business continuity. Where individuals are unavailable, a swift handover has ensured that businesses continue to function and flourish. In addition, many experienced industry leaders are volunteering their time to support smaller companies during this time.

The major challenge is to ensure funding rounds for the companies who are reaching the end of their runway. Official data that was published by the Israeli Innovation authority indicates that over 40% of the local companies reported cancellation or delay of an investment agreement. This number is even greater among companies in danger of immediate closure (up to three months runway), where over 60% reported damage to their funding, and only 10% are managing to have meetings with investors. We have experienced this challenge first-hand with one of our portfolio companies, that is having a difficulty in receiving the needed attention for a financing round.
Below the image of the different delays and cancellations from investors at these days:



The uncertainty and the resulting decision of many investors to "sit on the fence" due to the current situation hits an ecosystem that was already struggling to raise capital, partially due to the political instability on the eve of the war, combined with the worldwide economic recession.

The Israeli government and investor community are taking steps to ensure that good companies have enough runway to get through this period. The government, through the Israel Innovation Authority, has launched a $100 million emergency fund to assist startups (two of our portfolio companies applied for this grant). There are other initiatives, both from the public and private sector. Should needed, it is widely anticipated that the government will increase this assistance based on market conditions and needs.

As a, the strengthening of the dollar against the shekel is helping Israeli startups since revenue in the tech sector is mostly in dollars. The weakened shekel also means Israel becomes a cheaper option for multinational companies.

Israel's tech sector is a pillar of resilience and innovation. Despite current hardships, companies continue to operate, serve global markets, and maintain relationships with partners and investors. We're agile, we adapt, and we persevere. Israeli tech delivers – **NO MATTER WHAT.**

2024 Outlook:
Israel's economic recovery in previous conflicts has been rapid, with GDP growth, exports, FDI, and stock indices all typically recovering within 1-2 quarters. Currently, the Israeli tech sector is active at near to pre-war levels, buttressed by remote work and lower costs driven by a favorable exchange rate.

We cannot anticipate how long the war will last. The Israeli government is estimating a period of one year. As Israelis we adapt very fast to new conditions and maintain high productivity and efficiency.

We intend to continue to invest in the best Israeli MediaTech startups and support our current portfolio companies.

Our Portfolio:
We continue to keep a close watch on our portfolio companies, and the main feedback that we provide is that they should make every effort to extend their runway and communicate to their existing customers that they will receive the same quality of service and product as they did before the war.

FINANCIALS

As of September 30, 2023

PORTFOLIO STATS

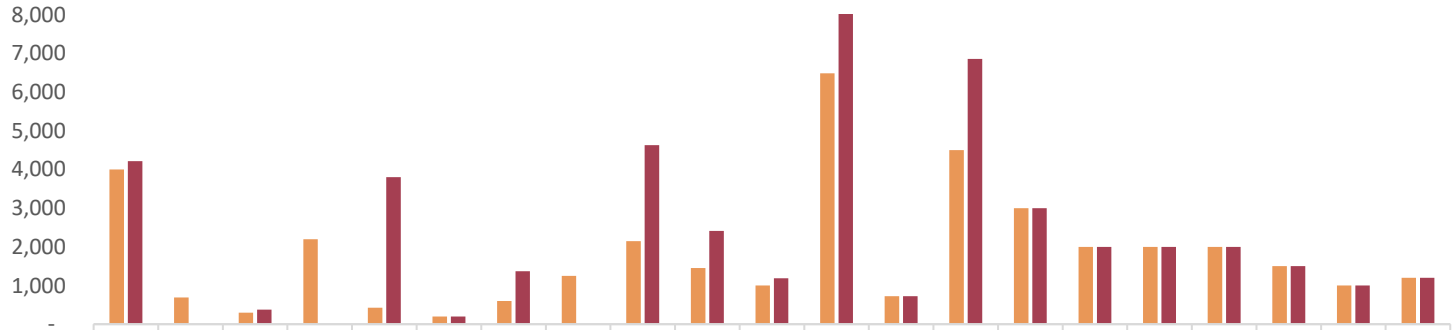
(In US thousands)

Fair market value	52,948	Number of First checks	21
Cost of portfolio companies	38,672	Avg amount of First checks	1,065
Gross Multiple (*)	1.4x	Number of Follow-ons	22
Number of exits	3	Avg amount of Follow-ons	741

(*) The Gross Multiple does not include new portfolio investments made in the past year.

PORTFOLIO FAIR MARKET VALUE

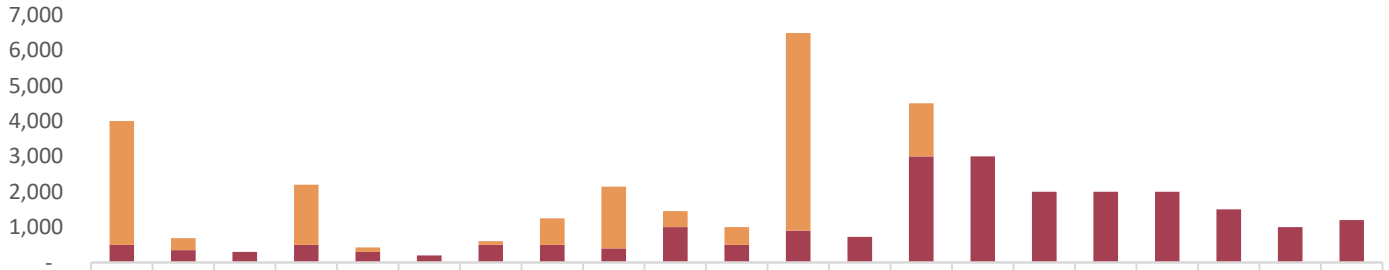
(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Maapilim	Deep-dub	Flying Pigs	Nyk.	Ludeo	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo	Astrid	Peerplay	Oncecut
FMV	4,217	-	375	-	3,800	200	1,370	-	4,629	2,414	1,186	14,475	724	6,857	3,000	2,000	2,000	2,000	1,500	1,000	1,200
Cost	4,000	690	300	2,197	425	200	600	1,250	2,146	1,453	1,000	6,487	724	4,500	3,000	2,000	2,000	2,000	1,500	1,000	1,200
Holding %	6.2%	Dissolved	Exit	Dissolved	Exit	SAFE	Exit	Dissolved	5.8%	9.7%	7.7%	13.8%	7.8%	13.7%	18.8%	21.1%	SAFE	19%	SAFE	SAFE	SAFE
Multiple X	1.1	-	1.3	-	8.9	1	2.3	-	2.2	1.7	1.2	2.2	1	1.5	1	1	1	1	1	1	1

PORTFOLIO ALLOCATION

(In US thousands)



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Follow-on Investments	3,500	340	-	1,697	125	-	100	750	1,746	453	500	5,587	-	1,500	-	-	-	-	-	-	-
First Investment	500	350	300	500	300	200	500	500	400	1,000	500	900	724	3,000	3,000	2,000	2,000	2,000	1,500	1,000	1,200

PORTFOLIO UPDATE

SYTE

ABOUT: Syte helps retailers connect shoppers to the products that inspire. It uses visual AI to create intuitive search and discovery experiences for all shoppers.

UPDATE: The company has appointed an investment banker to check the option of selling the company after an interest from several companies. As the market conditions do not allow a substantial growth, and several of the company's retail customers are facing financial challenges, the board is interested in exploring this option. In order to extend the company's run rate, in August 2023 the company raised from the current shareholders $900K as a SAFE with a Cap of $55M and a 20% discount and a 2.5X participant preference. We invested $136K.

DROVE

ABOUT: The company provides the quickies and easiest way to create online shops, forms, ticketed events, landing pages and newsletters.

UPDATE: The company maintains profitability and looking for new verticals to penetrate in order to boost performance and profitability.

MAAPILIM

MAAPILIM

ABOUT: The company offers grooming and lifestyle products created with natural ingredients taken from the Mediterranean.

UPDATE: The company failed to receive additional funding and despite a good momentum towards the end of Q4 2022, we were unable to agree on the terms of additional funding round, the board has decided to discontinue the support in the company and to shut down the operation. As a result we wrote off an amount of $1.25M.

PORTFOLIO UPDATE (cont.)

FLYING PIGS

ABOUT: Piggy is a mobile app that makes it easy and fun to create documents, presentations, web pages, invitations, and blog posts on a mobile phone, all enriched with visual storytelling features.

UPDATE: The company is still looking and experimenting what would be an ideal market product fit. The burn has dramatically decreased as a result of that, and the company has enough cash until the end of 2024.

DEEPDUB

ABOUT: DeepDub aims to bridge the language barrier and cultural gap in entertainment experiences through high-quality seamless localization.

The company provides a high-quality seamless localization service of entertainment content using deep learning and AI algorithms. DeepDub plugs into the post-production process of content owners and takes complete ownership of all their localization needs.

UPDATE: Deep dub has signed some major deals with Hollywood studios and beginning to generate more revenues according to its plan.

NOW YOU KNOW. (FORMERLY GRASP)

ABOUT: The company is leveraging technology to identify trending topics and repeatably create hit online courses, at scale. Currently, the company is releasing a new video course every month and growing its audience and technology.

UPDATE: The company is gearing up towards a Series A round, with a milestone of $2M in revenues by the end of 2023. The company is hitting its targets every quarter.

PORTFOLIO UPDATE (cont.)

N L I G H T

ABOUT: Nlight is the first software as a service (SaaS) platform that enables Mobile Games Product and Live Ops competitive intelligence. Nlight is based on proprietary machine learning and data mining technologies.

UPDATE: Due to the fact that the technology was blocked by Google, the company is pivoting to locate early stage opportunities in the field of gaming and invest in them.

L U D E O

ABOUT: The company is developing a cutting-edge gaming experience allowing gamers to capture their gameplay highlights and instantly make them into a **"Playable"** - an actual game "chunk" that others can play.

H U M A N Z

ABOUT: Humanz is an AI-powered influencer marketing platform engineered to bring back trust between marketers, content creators, and their audiences, aimed at combating influencer fatigue while also measuring true ROI and creating a safe and seamless end-to-end experience for all parties involved.

Humanz is now established in numerous markets, with strong partnerships with leading brand portfolio companies, D2C businesses, and agencies, including L'Oréal, Unilever, Kimberly-Clark, Nestlé, Cipla, Reckitt Benckiser, Universal McCann, and GroupM.

In February 2023, the company raised $10 million in Series A.

Series A Round: $1.5M at $40M pre-valuation (13.7%)

M U U U L A

ABOUT: The company plans to bring a new type of experience to the gaming world by adding very sophisticated game economy principles which are mostly utilized in casino type of games onto a conservative gaming environment and create more competitive and payable experience than the typical game apps we can today in the gaming world.

UPDATE: First game "Memory Pirates" has already been tested by more than 25K players worldwide and will be ready for production by the end of 2023.

PORTFOLIO UPDATE (cont.)

T R E A T

ABOUT: Treat is a play to rescue platform. Based on gamification, Treat gives pet lovers the option to co-own & treat a real dog or cat in need (a real-life "Tamagotchi").
The company's mission is that almost every pet lover will have a real animal they take care of by playing on Treat.

B O T I K A

ABOUT: Botika researched, developed and successfully launched into production a one of a kind Motion Transfer system that's currently state-of-the-art. The company technology can convert any image of a person into a moving avatar, purely automatically, without any pre/post-processing steps and in real-time.

UPDATE: Botika is gaining traction in the market with its new AI models, signing via self-serve automated process few brands every month that shift from real models to AI models

T E D O O O

ABOUT: Tedooo is the first B2B social platform customized for the trade world!

The company's vision is to boost and create global trade communities via relationships and partnerships between sellers and buyers and any type of companies or individuals related to the trade world.

The Tedooo platform is designed to provide all the tools and features our communities need to connect and scale their business. Tedooo already has users from more than 150 different countries and is growing rapidly.

PORTFOLIO UPDATE (cont.)

ASTRID ENTERTAINMENT

ABOUT: A gaming company focused on developing fantastical living worlds that inspire positive, community play and can cross over into different mediums, including film and TV

PEERPLAY

ABOUT: A gaming company focused on Create and build brilliantly designed and masterfully executed mass market, category leading games that captivate and monetize players for years.

Our Investment: $1M as a SAFE with a Cap of $8M and a 15% discount.

ONECUT.AI

ABOUT: The company mission is to use generative AI to mass produce authentic human-led video content and provide businesses a video content marketing machine

Our Investment: $1.2M as a SAFE with a Cap of $8M and a 20% discount.